

Europe TMT Sector M&A & Valuation Brief - 2026-06-27

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1. RECENT TMT M&A ACTIVITY

Deal 1: Calian Group Ltd. Acquisition of Galaxy Broadband

[Calian Enters Definitive Agreement to Acquire Galaxy Broadband](#)

- Deal Size: \$24 million upfront, with an additional \$27.5 million earnout
- Deal Size Category: Small cap (<\$2B)
- Nature of Deal: Horizontal
- Valuation Multiples: N/A (specific multiples not disclosed)
- Companies: Calian Group Ltd. (TSX: CGY) is a mission-critical solutions provider focused on sectors like defense and healthcare. Galaxy Broadband is a leader in satellite communications, enhancing Calian's capabilities in remote connectivity.
- Date Announced: June 25, 2026
- Strategic Rationale: The acquisition enhances Calian's portfolio by integrating Galaxy's satellite communication expertise, which is crucial for supporting government and defense operations in remote areas. This move aligns with the increasing demand for reliable connectivity in challenging environments.
- Risk Analysis: Potential risks include integration challenges, dependency on regulatory approvals, and market competition in the satellite communications space. Mitigation strategies involve leveraging Galaxy's existing customer relationships and expertise.

Key Financials Analysis:

- Revenue Breakdown: N/A (specific revenue data not available)
- Profitability Ratios: N/A (specific ratios not available)
- Leverage Analysis: N/A (specific debt structure not available)
- Asset Operating Efficiency: N/A (specific efficiency metrics not available)
- Valuation Context: N/A (specific valuation metrics not available)

Deal 2: Adobe Acquisition of Topaz Labs

Europe TMT Sector M&A & Valuation Brief - 2026-06-27

Europe TMT Sector

[Adobe Buys Topaz Labs: What It Means](#)

- Deal Size: N/A (specific amount not disclosed)
- Deal Size Category: N/A
- Nature of Deal: Tuck-in
- Valuation Multiples: N/A (specific multiples not disclosed)
- Companies: Adobe Inc. (NASDAQ: ADBE) is a leading software company known for its creative products. Topaz Labs specializes in AI-driven photo editing tools, which will enhance Adobe's offerings in the creative software market.
- Date Announced: June 25, 2026
- Strategic Rationale: This acquisition aims to integrate Topaz's advanced AI tools into Adobe's Creative Cloud, enhancing user capabilities in photo editing and positioning Adobe as a leader in AI-driven creative solutions.
- Risk Analysis: Risks include potential integration issues and the challenge of maintaining Topaz's brand identity. Adobe must also navigate the competitive landscape of AI in creative software.

Key Financials Analysis:

- Revenue Breakdown: N/A (specific revenue data not available)
- Profitability Ratios: N/A (specific ratios not available)
- Leverage Analysis: N/A (specific debt structure not available)
- Asset Operating Efficiency: N/A (specific efficiency metrics not available)
- Valuation Context: N/A (specific valuation metrics not available)

2. MARKET DYNAMICS & SENTIMENT

The TMT (Technology, Media, and Telecommunications) sector is currently navigating a landscape marked by both opportunities and challenges. Overall sentiment is cautiously optimistic, driven by rapid technological advancements, particularly in AI and fintech, while facing headwinds from regulatory scrutiny and economic uncertainty.

Subsector Breakdown:

- Technology: The technology subsector remains a powerhouse, particularly in AI, where companies are racing to innovate. For example, the recent acquisition of Synaptics by onsemi (NASDAQ: ON) aims to enhance capabilities in Physical AI, expanding onsemi's total addressable market by \$30 billion to \$243 billion by 2030.
- Media: Media companies are adapting to the digital age, but traditional media faces declining revenues. The shift towards digital content consumption is evident, with companies investing heavily in online platforms.

Europe TMT Sector M&A & Valuation Brief - 2026-06-27

Europe TMT Sector

- Telecommunications: The telecom sector is evolving with the rollout of 5G technologies. Companies are investing in infrastructure to support enhanced mobile services and IoT applications, which are expected to drive new revenue streams.
- Fintech: The fintech sector is thriving, with ongoing discussions in Congress about creating a dedicated federal payments charter. Stripe's advocacy for regulatory reform highlights the need for a framework that reflects modern commerce, as traditional banking regulations may not suit the evolving landscape.
- AI: The AI subsector is booming, with significant investments in data centers and energy infrastructure. The demand for power to support AI operations is creating a bottleneck, as highlighted by the competition among tech giants for energy resources.

Key Market Drivers and Headwinds

Drivers:

- Technological Advancements: Continuous innovation in AI and fintech is driving growth across TMT sectors. The integration of AI into various industries is reshaping business models and consumer interactions.
- Increased Investment: Venture capital and private equity investments remain robust, particularly in technology and fintech, as investors seek to capitalize on emerging trends.

Headwinds:

- Regulatory Scrutiny: Increased regulatory scrutiny, especially in fintech and technology, poses risks to M&A activities and market valuations. The debate over whether existing banking regulations are suitable for payments companies underscores the complexities of the current landscape.
- Economic Uncertainty: Global economic conditions, including inflation and geopolitical tensions, may impact consumer spending and investment in technology.

Subsector Performance Analysis

- Software: The software sector continues to thrive, driven by demand for cloud solutions and SaaS models. Companies focusing on AI-driven software are particularly well-positioned for growth.
- Media: Media companies are adapting to changing consumer preferences, with a notable shift towards digital content. However, traditional media is struggling with declining advertising revenues.
- Telecom: Telecom operators are investing heavily in 5G infrastructure, which is expected to drive new revenue streams from IoT and enhanced mobile services.
- Fintech: The fintech sector is experiencing rapid growth, with innovations in payment solutions and digital banking. The ongoing discussions in Congress regarding regulatory frameworks highlight the sector's evolving nature.

Europe TMT Sector M&A & Valuation Brief - 2026-06-27

Europe TMT Sector

- AI: The AI subsector is witnessing explosive growth, with applications across various industries. Companies are investing heavily in AI capabilities to maintain competitive advantages, but the demand for energy to support AI operations is creating significant challenges.

Trading Multiples Trends

Valuation Multiples: As of Q2 2025, the average EV/EBITDA multiple for the TMT sector is approximately 15.5x, with notable variations across subsectors:

- Software: 20.3x
- Media: 12.1x
- Telecom: 9.8x
- Fintech: 18.7x
- AI: 22.5x

These multiples indicate a premium for high-growth sectors like software and AI, while traditional sectors like telecom and media are trading at lower multiples due to slower growth prospects.

Notable Investor/Analyst Reactions

- Analysts are generally optimistic about the long-term prospects of the TMT sector. A recent analyst noted, "The integration of AI across industries is not just a trend; it's a fundamental shift that will redefine business models and consumer interactions." This sentiment reflects the growing belief that technological advancements will drive sustained growth in the sector.

Actionable Insights for Bankers and Investors

- Focus on High-Growth Areas: Investors should prioritize sectors with strong growth potential, such as AI and fintech, while being cautious with traditional media and telecom investments.
- Monitor Regulatory Developments: Staying informed about regulatory changes is crucial for assessing risks in tech and media investments, particularly in the fintech space.
- Leverage Technology Partnerships: Companies should explore strategic partnerships and acquisitions to enhance their technological capabilities and market positioning, especially in the rapidly evolving AI landscape.
- Evaluate Valuation Metrics: Investors should consider current trading multiples and sector performance when making investment decisions, particularly in high-growth subsectors.

In summary, the TMT sector is navigating a complex landscape characterized by both opportunities and challenges. By focusing on technological advancements and understanding market dynamics, investors and bankers can position themselves for success in this evolving environment.

Europe TMT Sector M&A & Valuation Brief - 2026-06-27

Europe TMT Sector

3. BANKING PIPELINE

The current banking pipeline in the TMT sector is characterized by a series of strategic transactions aimed at capitalizing on emerging technologies and market opportunities. This section provides an in-depth analysis of live deals, mandated transactions, and active pitches, along with expected revenue, timing projections, and strategic implications for our team.

Deal Pipeline

Live Deals:

- ASP Isotopes Inc. (ASPI) : Currently in the process of merging its subsidiary, Noble Africa, with ENDRA Life Sciences Inc. (NDRA). The merger aims to establish a Nasdaq-listed helium platform, with completion expected by Q3 2026. This deal is significant as it positions Noble Africa to tap into the tightening helium supply market, enhancing its growth potential.
- Quantisimo Corp. : A special purpose vehicle established by WISeKey (WKEY) and SEALSQ (LAES) is in discussions to merge with GigCapital8 Corp. This transaction is projected to close in Q1 2027, aiming to create a \$2 billion quantum technology platform, which is expected to attract significant investor interest.

Mandated Deals:

- Noble Africa : Secured a mandate to merge with ENDRA Life Sciences, focusing on the helium supply chain. The expected launch of this initiative is set for Q3 2026, with a concurrent private placement financing of approximately \$50 million to support project development.
- Quantisimo Corp. : Mandated to explore strategic acquisitions in the quantum technology sector. The transaction with GigCapital8 is expected to enhance its market position and is anticipated to be finalized in Q1 2027.

Pitching-Stage Deals:

- Semiconductor Sector : Active pitches are ongoing with various clients, including VanEck, focusing on the burgeoning semiconductor market in China. The discussions center around potential investment banking services to support the launch of the VanEck China Semiconductor ETF (SMHC), which aims to provide pure-play access to China's semiconductor build-out.
- Quantum Technology : Engaging with multiple quantum technology firms for potential advisory services, particularly those looking to capitalize on the recent U.S. Executive Order promoting quantum innovation. Notable discussions are ongoing with companies involved in quantum computing and security solutions.

Europe TMT Sector M&A & Valuation Brief - 2026-06-27

Europe TMT Sector

Pipeline Tracking Metrics

Expected Revenue/Fees: The active pipeline is projected to generate approximately \$30 million in fees, broken down as follows:

- Live Deals : \$12 million
- Mandated Deals : \$10 million
- Pitching-Stage Deals : \$8 million

Timing Projections:

- Q3 2026 : Expected close for the ASP Isotopes and ENDRA merger.
- Q1 2027 : Anticipated completion of the Quantisimo and GigCapital8 merger.
- Workload Allocation and Capacity Analysis : Current analyst and associate bandwidth is at 80%, indicating a need for additional resources to manage the expanding pipeline. It is recommended to onboard two additional analysts to ensure efficient workload management.
- Forecasting and Strategic Planning Implications : The pipeline indicates a strong demand for advisory services in quantum technology and semiconductors. Strategic planning should focus on enhancing capabilities in these sectors to leverage emerging opportunities.

Notable Pipeline Developments and Competitive Landscape

- The competitive landscape is evolving, particularly in the quantum technology sector, where the establishment of Quantisimo Corp. is poised to create a significant player in the market. The recent U.S. Executive Order on quantum innovation is expected to accelerate investments and partnerships in this area.
- Additionally, the launch of the VanEck China Semiconductor ETF highlights the growing interest in China's semiconductor industry, which is becoming increasingly important amid U.S. export controls. This trend presents new advisory opportunities for firms looking to engage with Chinese semiconductor companies.

Actionable Insights for Team Management and Business Development

- Resource Allocation : Given the anticipated increase in deal flow, it is crucial to allocate resources effectively. Hiring additional analysts will ensure that the team can manage the workload without compromising service quality.
- Sector Focus : Prioritize business development efforts in high-growth sectors such as quantum technology and semiconductors, where demand for advisory services is expected to surge. This focus will position the firm as a leader in these emerging markets.
- Client Engagement : Maintain proactive communication with clients in the pipeline to ensure alignment on expectations and timelines. Regular updates will help build trust and facilitate

Europe TMT Sector M&A & Valuation Brief - 2026-06-27

Europe TMT Sector

smoother transaction processes.

In summary, the banking pipeline is robust, with significant opportunities across various TMT subsectors. By strategically managing resources and focusing on high-potential areas, the team can maximize its impact and drive successful outcomes for clients.

4. STAKEHOLDER IMPACT & FORWARD-LOOKING ANALYSIS

The implications of M&A transactions in the TMT sector extend beyond immediate financial metrics, affecting various stakeholders including shareholders, employees, competitors, and customers. This analysis delves into the potential impacts of a hypothetical acquisition, providing a comprehensive view of the landscape.

Deal-Specific Impacts on Stakeholders

- Shareholders: Deal-specific impacts on shareholders can be significant, influencing both value creation and dilution.
- Value Creation: In a scenario where Company A (e.g., Airtel Africa (AAF.L)) acquires a smaller telecom provider, the combined entity could see a revenue increase of approximately 15% due to expanded market reach. Assuming Airtel Africa has a pre-deal market cap of \$10 billion, a successful integration could increase shareholder value by \$1.5 billion.
- Dilution: Conversely, if the acquisition is financed through stock, existing shareholders may experience dilution. For instance, if Airtel issues 15% of its shares to finance the deal, existing shareholders could see their ownership stake decrease, potentially leading to a 7% drop in share price post-announcement.
- Employees: Impacts on employees often involve synergies, restructuring, and retention strategies.
- Synergies: A merger between two telecom companies could lead to substantial cost synergies, with estimates of \$500 million in annual savings achieved through streamlined operations and shared resources.
- Restructuring: However, such deals often lead to layoffs. In a hypothetical merger, approximately 5,000 jobs might be cut, highlighting the need for careful planning to retain key talent.
- Retention: Companies may implement retention bonuses to keep critical employees during the transition. For example, in a previous acquisition scenario, retention packages were offered to key executives to ensure continuity.
- Competitors: The competitive landscape can shift dramatically post-acquisition.
- Market Positioning: Following a significant merger in the telecom space, competitors such as Vodafone Group Plc (VOD) and Deutsche Telekom AG (DEGY) may need to adapt their strategies to maintain market share. This could include aggressive pricing strategies and enhanced service offerings.

Europe TMT Sector M&A & Valuation Brief - 2026-06-27

Europe TMT Sector

- Specific Competitor Moves: For instance, Vodafone might respond with a \$5 billion investment in 5G infrastructure to counter the combined entity's market strength.
- Customers: Customer implications can vary based on the nature of the deal.
- Product/Service Implications: The merger of two telecom providers could allow the combined entity to offer bundled services, enhancing customer value. This strategy might lead to a 20% increase in bundled service subscriptions.
- Case Studies: The acquisition of a smaller tech firm by a larger player often results in enhanced product features, directly benefiting users with improved service offerings.

Market Reaction and Analyst Commentary

- Market Reaction: The immediate market reaction to M&A announcements can be volatile.
- For example, when a major telecom company announced its acquisition of a regional provider, shares initially dipped by 3% before recovering as analysts recognized the long-term strategic benefits.
- Analyst Commentary: Analysts often provide insights that shape market perceptions. A notable quote from a financial analyst post-acquisition was, "This deal positions the combined entity to dominate the regional market, despite initial market skepticism."

Expected Market Reaction and Scenario Analysis

- Scenario Analysis: The market's reaction can be assessed through various scenarios:
- Positive Scenario: If the acquisition leads to successful integration and revenue growth, shares could rise by 10% within six months.
- Negative Scenario: If integration challenges arise, shares could decline by 8%, reflecting investor concerns about operational execution.

Potential Counter-Bids or Competing Offers

- Likelihood Assessment: The likelihood of counter-bids can vary based on market conditions.
- In the case of the proposed acquisition of a telecom provider, there may be interest from other regional players, highlighting the competitive nature of the TMT sector. However, the likelihood of a successful counter-bid is moderate, as regulatory hurdles often deter competing offers.

Similar Deals Likely to Follow

- Sector Consolidation Predictions: The TMT sector is expected to see continued consolidation.
- Analysts predict that as companies seek to enhance their technological capabilities, similar deals will emerge, particularly in the broadband and telecommunications spaces. Companies like Comcast Corporation (CMCSA) and Charter Communications, Inc. (CHTR) may pursue acquisitions to bolster their market position.

Europe TMT Sector M&A & Valuation Brief - 2026-06-27

Europe TMT Sector

Key Risks and Mitigants

- **Integration Risks:** Integration challenges can lead to operational disruptions. Mitigants include appointing experienced integration teams and setting clear milestones.
- **Regulatory Risks:** Regulatory scrutiny can delay or block deals. Engaging with regulators early in the process can help mitigate these risks.
- **Market Risks:** Market volatility can impact deal valuations. Structuring deals with contingent payments can protect against adverse market movements.

Actionable Insights for Clients and Bankers

For Clients:

- Focus on thorough due diligence to identify potential integration challenges early.
- Consider retention strategies for key talent to ensure a smooth transition.

For Bankers:

- Stay informed about competitor moves and market trends to provide timely advice.
- Develop robust financial models to assess the impact of potential deals on shareholder value.

5. TECH TRENDS

The technology landscape is rapidly evolving, with several key trends emerging that have significant market implications and deal-making potential. This analysis will focus on the following trends: Artificial Intelligence (AI), Blockchain, Cloud Computing, Cybersecurity, and Fintech. Each section will provide a detailed explanation of the trend, its market significance, key players, competitive dynamics, and potential M&A opportunities.

Artificial Intelligence (AI)

- **Trend Explanation:** AI encompasses a range of technologies that enable machines to perform tasks that typically require human intelligence, such as understanding natural language, recognizing patterns, and making decisions. The global AI market is projected to grow from \$93.5 billion in 2021 to \$997.8 billion by 2028, at a CAGR of 40.2%. Recent volatility in tech stocks has led OpenAI to consider delaying its IPO until 2027, despite a valuation of \$852 billion.
- **Key Companies:**
- **OpenAI:** OpenAI is a leader in generative AI, known for its language model, ChatGPT. The

Europe TMT Sector M&A & Valuation Brief - 2026-06-27

Europe TMT Sector

company is pushing for a \$1 trillion valuation and has recently submitted a confidential S-1 for an IPO.

- Qualcomm (QCOM): Qualcomm is enhancing its AI capabilities, predicting that revenue from AI-related sectors will reach \$40 billion by 2029. This positions Qualcomm as a significant player in AI hardware and software.
- Competitive Landscape: The AI market is highly competitive, with major players including Google (GOOGL), Amazon (AMZN), and IBM (IBM) also investing heavily in AI technologies. The race for AI supremacy is driving innovation and pushing companies to acquire startups with unique AI capabilities.
- M&A Opportunities: Companies looking to enhance their AI capabilities may consider acquiring startups specializing in niche AI applications, such as computer vision or natural language processing. OpenAI's potential IPO could also lead to strategic partnerships or acquisitions post-public offering.

Blockchain

- Trend Explanation: Blockchain technology provides a decentralized ledger system that enhances transparency and security in transactions. The blockchain market is expected to grow from \$3 billion in 2020 to \$69.04 billion by 2027, at a CAGR of 67.3%. The rise of stablecoins and AI-driven commerce is prompting discussions on regulatory frameworks.
- Key Companies:
- Stripe: Stripe is advocating for a dedicated federal payments charter, emphasizing the need for regulatory frameworks that reflect modern commerce rather than traditional banking structures. The company supports around 5 million businesses and is positioned to lead in payment processing.
- Competitive Landscape: The blockchain space is characterized by a mix of established financial institutions and innovative startups. Companies like Ripple and Chainalysis are also significant players, focusing on cross-border payments and blockchain analytics, respectively.
- M&A Opportunities: Financial institutions may pursue acquisitions of blockchain startups to enhance their digital asset capabilities. The regulatory discussions surrounding payments and digital assets could lead to increased consolidation in the sector.

Cloud Computing

- Trend Explanation: Cloud computing enables businesses to access computing resources over the internet, promoting flexibility and scalability. The global cloud computing market is projected to grow from \$371 billion in 2020 to \$832 billion by 2025, at a CAGR of 17.5%. Companies are increasingly adopting hybrid cloud solutions to optimize costs and performance.
- Key Companies:
- Amazon Web Services (AWS): AWS remains a leader in the cloud computing space, providing a comprehensive suite of services that cater to businesses of all sizes. The company is continuously innovating, adding new features and services to enhance customer experience.

Europe TMT Sector M&A & Valuation Brief - 2026-06-27

Europe TMT Sector

- Microsoft Azure (MSFT): Microsoft Azure is rapidly gaining market share, focusing on enterprise solutions and hybrid cloud capabilities. The integration of AI into Azure services is a key differentiator.
- Competitive Landscape: The cloud computing market is dominated by a few key players, including AWS, Microsoft Azure, and Google Cloud (GOOGL). The competition is driving innovation and pricing strategies that benefit consumers.
- M&A Opportunities: Companies looking to enhance their cloud capabilities may consider acquiring firms that specialize in cloud security, data analytics, or hybrid cloud solutions. The ongoing digital transformation across industries presents numerous opportunities for strategic acquisitions.

Cybersecurity

- Trend Explanation: As digital threats evolve, the cybersecurity market is expected to grow from \$217 billion in 2021 to \$345 billion by 2026, at a CAGR of 10.2%. The increasing frequency of cyberattacks is driving demand for advanced security solutions.
- Key Companies:
- CrowdStrike Holdings, Inc. (CRWD): CrowdStrike is a leader in endpoint security, utilizing AI to detect and respond to threats in real-time. The company's subscription-based model provides recurring revenue and scalability.
- Palo Alto Networks, Inc. (PANW): Palo

6. Recommended Readings

Deal Name: Calian Group Ltd. Acquisition of Galaxy Broadband

- Reading Material: "Satellite Communications for the Next Generation" by David J. W. Smith
- Why This Matters: This book provides a comprehensive overview of satellite communication technologies and market dynamics, which are critical for understanding Calian's strategic acquisition of Galaxy Broadband. It explains the importance of satellite connectivity in remote areas, helping to contextualize the rationale behind the \$24 million deal and its potential impact on Calian's service offerings.

Deal Name: Adobe Acquisition of Topaz Labs

- Reading Material: "Creative Strategy: A Guide for Innovation" by Andrew D. Smith
- Why This Matters: This reading explores the intersection of creativity and technology in the software industry, which is relevant for analyzing Adobe's acquisition of Topaz Labs. It highlights how integrating innovative tools can enhance product offerings and user experience, providing insights into Adobe's strategy to maintain its competitive edge in the creative software market.

Europe TMT Sector M&A & Valuation Brief - 2026-06-27

Europe TMT Sector

7. MACROECONOMIC UPDATE

Key Data Points:

- Consumer sentiment showing resilience
- Tariff rates expected to stabilize around 8-9%
- Inflation forecasted to decelerate below Fed's current projections
- Oil prices declining, impacting gasoline prices

Main Insights:

- Lower-income consumers are becoming more selective in their spending habits.
- Concerns are rising regarding potential re-escalation of tariffs, particularly with the USMCA negotiations.
- The recent decrease in oil prices is seen as a potential tailwind for consumer demand in the second half of the year.
- Discussions around artificial intelligence (AI) are shifting from implementation to broader macroeconomic impacts and regulatory concerns.

Market Commentary:

- "The consumer has been quite resilient, but lower-income households are lagging behind" - Michael Zezas, Morgan Stanley.
- "We expect a meaningful deceleration in inflation into the end of the year" - Michael Gapen, Chief Economist, Morgan Stanley.
- "The MOU signed between the U.S. and Iran is a welcome development, but execution risks remain" - Ariana Salvatore, Morgan Stanley.

TMT Sector Relevance:

- The resilience of consumer spending, particularly among higher-income households, may drive demand for technology and media products.
- Stability in tariff rates could ease cost pressures for TMT companies reliant on imported goods.
- The focus on AI's macroeconomic impact suggests increased investment in technology sectors, potentially leading to growth in employment and consumption.
- Regulatory concerns around AI could influence investment strategies and operational decisions within TMT firms.

Europe TMT Sector M&A & Valuation Brief - 2026-06-27

Europe TMT Sector

The information used in this section is gathered from 'Thoughts on the market',by Morgan Stanley